

3rd Smith

Steven Gardner

00:00

Okay, well I think this is my last day with you guys. And so we should be able to sort of finish up with what I had to say about Adam Smith. uh today.

00:15

Uh before I start any f questions or comments or anything about What I've talked about before, I'm gonna kind of quickly summarize it again, what I've already said, but any uh anything that's come up Okay, well just kind of quickly reviewing the kind of top-line argument that we've heard from Smith up to this point. We kind of start with this question of, you know, if if this book is about the nature and causes of the wealth of nations, what's the nature of the wealth of nations? It is, first of all, what it's not, is uh It's not whether we have a lot of gold or not.

00:58

Um that's what the mercantilists had argued. And in a different sense, that's sort of like what President Bush or uh President not sorry President Trump argues is that if we're trading with other countries and if we have a negative trade balance with another country we're losing to that uh we're losing to that country because uh negative trade balance. So the mercantilist idea was that if you have a If we're importing more from a country than we're exporting, when you export goods, you earn gold When you import goods, you spend your gold.

01:36

And so uh if we're importing more goods than we're exporting we end up losing our gold. We lose our wealth. And so uh that's if you buy that description of what the wealth of a nation is anytime you run a trade deficit with another country you're losing in some sense.

01:59

Uh the way I look at it, that's sort of like saying I am losing in my trade with HEB, uh the grocery store, because they don't buy anything from me. Um and at least Back when I was working to actually make money, I would come into rooms like this one sort of sell lectures to people like yourselves. get money from that I would run a trade surplus with people like you so that I could run a trade deficit with HEB the purpose of money is um so that you can have multilateral trade.

02:37

Uh it is a medium of exchange, it is not wealth in itself, Adam Smith would say. Uh I if you don't have money, as you would have learned in a principal's course or somewhere, uh, you're kind of tied to barter. I can only trade with somebody if there's a so called double coincidence of wants.

02:57

If you want something I have and I have want something you had, then we can carry out a trade. If we don't if there's no mutually acceptable medium of exchange, which is what money is Then I can only trade with people in balance trade. Money makes it possible to have unbalanced trade with one entity so that I can have I can have a surplus with one entity so that I can run a deficit with another.

03:26

I will say it's a little different for the US uh than from any other country because the nature of the US dollar. Other countries want to have US dollars. Not so they can buy US goods.

03:43

I mean sometimes they want US dollars for that purpose, but other countries want to have US dollar-denominated assets uh and dollars themselves for other reasons. Some countries want to have dollars so they can buy goods from other countries because uh if I travel to Europe and uh get some Euros. Uh if I want to be able to before I get home I really need to exchange those Euros and get them back into dollars so I can put those back in my bank account Uh if I'm in Europe and I've got dollars, I can open a dollar-denominated bank account.

04:26

And when France buys oil from Saudi Arabia Quite often they pay for it with dollars in European banks. And so you have dollars that go out of the country to support trade between other countries because the dollar is seen as this stable uh medium of exchange, not just for the US, but for other countries too. And then when I said other countries wouldn't have dollar-denominated assets like U. S. Treasury securities, you have people that want dollars not so they can buy U. S. goods But so they can buy US Treasury securities because those are seen as the safest up to now.

05:12

Now that we're running a trillion \$40 trillion national debt we are kind of running a risk of screwing this whole thing up. But the up to now, US Treasury securities are seen as sort of the safest way that you can hold your wealth, whether you're an American or somebody in another country. So if people in other countries want to get dollars not to buy American goods, but to buy U. S. Treasury securities, then that means uh uh people want to sell goods to us uh uh to get dollars from us and then they don't turn around and use those dollars to buy goods back from us.

05:56

They buy treasury securities instead of goods. And uh uh it's the fact that the dollar is sort of the global medium of exchange and and uh uh store of wealth means that the US since World War II has gained from have any of you do any of you know the the word seigniorage S E I G H is there a anything here? Uh word for the day.

06:31

Um S E I G N I O R A G E Signorage It is the profit that goes to the issuer of a currency. It goes back, you know, you'll notice the root of the word senor, the the king, the senor, the leader of our country. If I'm the leader of a country and I am the person who has authority to issue currency, I am in a position to gain from that.

07:04

Every once in a while, let's say if we're on a gold standard and all our money is gold coins, if I have my first child. I can declare a jubilee and say, uh my first child, the the future king or queen is has uh has been born. And so we're calling in all the gold coins that everybody has We're gonna remit everything.

07:29

And so we get all the coins in, we we keep a record of how many coins did you give us. You'll get your coins back, we say Um and uh uh we melt them all down, we mint new coins and we give them back to you, but the new coins maybe slightly lighter than the ones you gave me in the first place, and I pocket some of the other gold. Or maybe they're not lighter, I've put some lead in there with the gold.

07:58

But I am in a position, since I am the issuer of currency, To take advantage of that and profit from my position as the issuer of currency. Since World War II, the US has been the issuer of currency to the world uh and so we have been the gainer of seigniurage. One of the purposes of Europe coming together and adopting a common currency, the euro, there were a lot of reasons for that.

08:30

Uh b and uh, you know, since I've been at Baylor since the beginning of time, I used to talk to students about Do you believe that the Europeans will really give up their individual currencies? And and they'd say, no, they will never do that. And I said, yeah, they will.

08:48

Because Uh there are two important constituencies for it. One is young people who get tired of traveling, uh uh older Europeans uh didn't travel as much as young pure Europeans do. So if you're a young European and you travel around in Europe and you everywhere you go you end up with a bunch of change in 20 different currencies.

09:14

Um, I can tell all sorts of stories about this. It's just a hassle. And so wouldn't it be better?

09:21

Uh can you imagine if when you travel around the US, if Oklahoma and Arizona and everywhere you went, you had to exchange your Texas bucks for Oklahoma and Arkansas bucks, and then you couldn't spend those in Texas, so you'd have to But when you're trying to come back to

Texas, they'd say, no, this is just change. We'll exchange the paper stuff, but not the change. So you just keep the change.

09:48

I can't spend it. That's tough. We don't deal with change and so you lose money every time you travel to other places.

09:57

So young people uh who didn't remember World War Two and didn't hate the Germans as much as their parents did. They didn't care if the European Central Bank was gonna be in Frankfurt, which old people were worried about, the Germans having the European Central Bank. And then you had business people who didn't want to deal with all the costs involved.

10:20

And uh it simplified business to come to a single currency. So there are a lot of reasons to adopt a single currency. But one of them was the Europeans said we want a piece of this action Uh America, why do you get the profits of being the issuer of world currency?

10:38

We should be getting to do some of that too. Uh so the US is different, and therefore we tend to run trade deficits not just with individual countries. But overall, year after year after year, because people want dollars partly just to keep and to trade in the rest of the world and they want dollars partly to buy not US goods but US Treasury securities.

11:05

So it's a little different, but As a general rule, uh Adam Smith would say, no, gold is not wealth. Uh countries not wealthy just because they have a lot of gold. Uh countries well off uh their population is well off if they have a high standard of living.

11:25

And you have a high standard of living If you're productive, if you produce a lot of goods, you can either consume those goods that you've produced or you can exchange them uh for actual goods with people in other places and countries and you can be better off. So we want to be productive How do we get productive division of labor? You do what you do well, I'll do what I do well.

11:52

How can we get a bigger division of labor, more specialization? The division of labor is limited by the extent of the market. If we open up to international trade, we can have more specialization, more productivity, and in principle everybody can be better off.

12:12

Again, caveat. uh all countries will be better off because of trade. Uh that doesn't mean every individual is and so we've done a bad job of making sure that trade was beneficial to everybody

and therefore we've got a backlash against it now.

12:32

So that's the basic argument for free trade that we get from Smith Um and uh then we moved into his his his uh theory of value And basically the theory value is there's use value and exchange value, but they don't seem to be related. I'm going to talk about exchange value. Exchange value is determined by the cost of producing a product.

13:01

I'll sell it for for what it costs to produce it plus a profit So I've got a cost-related theory of value. And that's what we're going to get also from Ricardo and Karl Marx. It's just that Ricardo and Karl Karl Marx thought you could reduce all of those costs into labor.

13:24

And Adam Smith said, no, you can't really. That only works in a primitive society when you don't have landlords and capitalists. Because uh profits and weight and profits and rents aren't related to labor time.

13:37

And so So the market price of something is in the long run determined by the cost of producing it that reduces to wages, profits, and rents. So if I give you a theory of each of those and we add them together, I've given you a theory of prices. So first it was a theory of wages, and he said summarizing well there's both an upper and lower limit uh the upper limit on wages is wages can't be higher than employers can afford to pay.

14:15

Uh the wage the the employers in an agricultural society have some savings that they've held over from the last uh from the last harvest. And they can't give out more food and more wages to their to their workers than they have. So the so-called wages fund.

14:36

The upper limit on wages is what employers can afford uh uh to pay. The lower limit is subsistence, survival If you try to push wages below subsistence, that happens every once in a while. People die.

14:54

When people die, the labor force shrinks. When the labor force shrinks, you get a shortage of labor and that pulls wages back up to subsistence again. So wages can't go below subsistence for any significant period of time.

15:11

But then he said, but the actual at any given time, the actual wage is likely to be somewhere in the middle, determined by the bargain that's reached between employers and workers uh where they have very different interests. But then he says, but it's the employers, the masters,

he calls them, who have the upper hand in the negotiations because they are fewer in number. And he said that at least in 1776 the law was on their side. Uh there weren't laws against that kept Masters from colluding with each other.

15:47

There were laws that prevented the formation of labor unions at that time. And so the masters uh are in a stronger position. So there's a tendency for wages to get pushed down toward the subsistence direction. But he said if a country is growing rapidly enough and continuously enough, if you can keep economic growth going continuously and rapidly.

16:17

Economic growth increases the demand for labor, puts workers in a stronger bargaining position. and can pull wages up. And therefore he said it's not in the wealthiest countries, the ones that have the best roads and infrastructure.

16:33

It's in the countries that are growing the fastest. uh that wages will tend to be highest. And he gives examples of that he says right now in the American colonies or it's 1776, so not long to be American colonies.

16:51

Uh they don't have the infrastructure that we have in England, but their economy is growing rapidly and wages are high. Uh I can remember when Alaska was sort of a a or if you look at uh areas when the uh uh fracking the kind of fracking revolution. And you had you had areas, you know, in uh where there wasn't that much infrastructure, but there was a lot of economic growth. And you had to pay workers a lot to move to those places. So so it's and then at the other end of it he says China. Once upon a time was the wealthiest country in the world with the most advanced technology, but something happened.

17:37

They apparently went through a growth phase. That brought on a lot of population growth, but then growth stopped, and so they ended up with a big population and really, really low wages. So that's wages. Profits, he said, well, since profits and wages are just in opposition to each other, it's that bargain between workers and capitalists that determines, then he basically ends up saying profits are just the other side of the coin of the wage issue.

18:15

That if a country is growing rapidly. And so then he gives us that kind of weird set of data. It's like, okay, I wish I knew what the rate of profit had been in England over a long period of time, but we don't have good data.

18:30

Uh uh but uh it we should be able to get some sense of what's happened to profits by the trend

of interest rates 'Cause interest, if I'm a wealthy person, I can choose to put my wealth into starting a company and uh earning profits or I can put my wealth in the bank and earn interest. Those are competing uses of the same wealth. And so if one's a lot higher than the other, people are going to shift around.

18:58

And there's a tendency he said in the long run for profit rates and interest rates to kind of move together. So if we knew what was happening to interest rates, we would know what's happening to profit rates But he didn't have good data on interest rates either. But what he did have is a law library.

19:16

And he says under, you know, a decree of Henry VIII uh the legal maximum interest rate was 10% and then under successive regimes it kept coming down until under Queen Anne it was at five percent. So he He says the legal maximum interest rate's been falling. Then he says all of these changes seem to be to have been made with great propriety, which is again a weird thing for Adam Smith to say, these regulations.

19:48

were a a laissez-faire guy saying all these regulations were done with great propriety is a little surprising. But Uh he takes it to say that the legal maximum interest rate has been coming down because it's following along with the market interest rate. And uh what's going on?

20:12

Here we go. And uh So he thinks the market interest rate's been falling, therefore he thinks the profit rate's been falling And he looks at it and says, is that good or bad? Oh, I think it's good.

20:27

I'm Adam Smith. I'm an optimist. I think everything's great.

20:31

Uh why is it good? Well the profit rate's falling because we've got economic growth. And if you have economic growth, you're giving birth to more companies that are competing with each other You're getting rid of monopolies, and monopolies are bad.

20:46

And economic growth is increasing the demand for labor, strengthening the position of the working class that's That's been living close to subsistence for a long time. So it's a good thing that workers are in a better position And so, yeah, the rate of profit's falling, but that's just great. Where, as I've told you later, Ricardo is going to come in and say, he w he just seems to everybody else just seems to accept Adam Smith's weird empirical result that the rate of profit's been falling, and then they come up with different explanations of it So Ricardo says, well yeah, the rate of profit's falling.

21:27

No, it's not because workers are better off. It's because food prices are higher. We've cut off trade uh uh during the Napoleonic Wars, uh France used uh food as a kind of an instrument of trade warfare, cut off exports of of food to to England.

21:48

And so the British responded to that by enacting the uh the corn laws that said, okay, we're gonna we're gonna restrict imports and give a stronger incentive to our farmers to build up uh uh agricultural production. And uh and but the problem with that is we're an island, we don't have a lot of good Land and so if we've got a growing population and we're trying to produce more and more food for a growing population uh it becomes more and more costly on limited land and so food prices go up and uh as food prices go up uh the subsistence wage goes up and uh Ricardo thought that wages just tended to stay close to subsistence. So yeah, wage money wages are going up, but only because food prices are rising.

22:43

And it's those higher money wages that are squeezing profits And uh the only people that are benefiting, and this goes beyond what I'll talk about today, are landlords. They're getting better off in Ricardos. theory, but but uh the capitalists are getting a lower rate of profit, the workers are still stuck at subsistence wages with high prices And uh but so Ricardo said, no, this is bad that the rate of profit's falling, because eventually capitalists will just stop investing and then we go to a zero growth state, what do you call the stationary state?

23:22

And that's bad, but good news we can fix it We can fix it just by getting rid of the corn laws. The Napoleonic Wars are over. Why are we still restricting imports of corn?

23:33

We can start a They use corn to talk about grain generally. It's not the yellow stuff that we talk about. And uh we can import grain uh get prices down, get real wage uh money wages down, maybe real wages up a little bit, and keep economic growth going.

23:56

Then John Stuart Mill says, Well, I don't care if uh if we stop having economic growth. We we're already we've already grown as much as we need to. But then Karl Marx comes along and says Yeah, Adam Smith, I believe you.

24:14

The rate of profit's been falling, but I think it's an inherent characteristic of the capitalist system that can't be fixed. It is, and we talked about that a little bit last time That in as capitalism moves forward, capitalists to compete with other capitalists are forced to invest more and more in technology, machinery, et cetera. And Marx believed that in the long run Machines have a zero rate of return.

24:43

In the long run, you can't exploit machines. You can't get a profit from machines. You can only profit from hiring live workers And uh since there is a what Adam what Karl Marx called a rising organic composition of capital.

25:01

uh that a larger and larger percentage of the investment dollar is going into buying machines instead of labor. Then a larger and larger percentage of your investment dollar is in the long run getting a zero rate of return, and that's what's pulling the rate of profit down And you can't fix it uh under capitalism. This is one of several things that'll eventually cause capitalism to fall apart.

25:27

But if you're Karl Marx, you say that's fine. Uh that moves us into a new stage. Capitalism was great.

25:34

We needed it, Karl Marx would say, to build up the wealth of society, but now we're going to turn it over to society and move into socialism What exactly he meant by socialism is another conversation, but it's not what the Soviet Union did. So So that that's profits. And then uh then you have Adam Smith on rents.

26:05

Where he says, well, rents are, you know, the landlord's going to squeeze as much out of uh out of tenants as they can. uh which is probably true. Uh but uh then where he really kind of falls off the wagon, uh where Smith does, is when he says that Rent's enter into the prices of commodities differently from wages and profits.

26:32

Wages and profits, he said, are the cause of a high or low price. Rents are the result of it. When he says that, he's broken the deal that he gave us at the beginning of the argument because he said price is equal to wages plus profits plus rents.

26:51

Uh so if you say somehow rents are the result of high wages and profits, question well, why is there anything there for rent at all? What if uh if uh uh You know, why why is price not just wages and profits? Why is anything left over for the landlord to squeeze out in rents?

27:14

So that's a little mystery that we're going to have to leave for people like David Ricardo and others to solve later on. Uh so that that's what we've done up to now. Any question about any of that?

27:34

Well, yes.

Student 1

27:36

Can you furnish out the link between I guess the increasing rate uh interest rates and then increasing profit rate? Is it just that like whenever the interest rates are higher that you're just gonna capitalist

Steven Gardner

27:48

It the the idea is that they should in the long run kind of move together because if I'm again if I'm a wealthy person I have choices on how I use my wealth. I can put my wealth into uh you can think of it as stocks versus bonds if I'm buying stocks. I'm buying ownership in a company that I'm hoping will be profitable, but let's forget that for let's keep it simpler.

28:15

Let's say I can if I'm a wealthy person, I can use my wealth to like I said start a company with the hope that it'll be profitable and so the profits as a percentage of what I invested will be the rate of return that I'll get on uh starting a company. Or I can take my money and just put it in the bank or someplace and earn interest. If right now profit rates were a lot higher than interest rates, what would people do?

28:49

That more people would be tempted to say, okay, I'm going to pull my money out of the bank. I'm going to borrow money at these low interest rates, and I'm going to use that to start companies if profit rates are a lot higher than interest rates. If more pump people are starting companies and those companies are competing with each other, more companies in any particular sector means there's a larger supply of that product and therefore its price is likely to start coming down and the rate of return, the profit that you're getting is starting to fall.

29:26

in that sector. Meanwhile, if people are pulling their money out of savings or if they're going and saying interest rates are low uh uh I think I'll borrow. Uh that tends to pull interest rates up if you've got a bigger demand for loanable funds as people are borrowing at those low interest rates.

29:49

So if there's a big imbalance between profit rates and interest rates, uh people are going to move their wealth around and that in the long run would tend to equilibrate them to some degree. Uh it's uh this is different, but it just occurred to me the other day I was looking at at the uh Uh do any of you ever look at like uh polymarket and calci to look at uh at prediction markets for where So if you look at prediction markets for, let's say, for example, the Texas Senate race, you'll see that they're very, very close to each other. uh the the the perceived probability that Tolerico or Paxton is going to win.

30:37

They are very similar in in Calci and and uh uh and in uh uh uh polymarket. Well that could just be because you know you got people that are making similar bets in both places But is there another reason that you would expect those things to be pretty close to each other?

Student 1

31:02

They're like a bunch of bottles. constantly arbitraging them.

Steven Gardner

31:05

Arbitrage, yeah. It's it's these are markets. Uh these are markets.

31:10

And so arbitrage, you know another one of those arbitrage signurage. Uh another one of those words. If something's being sold a lot cheaper in Waco than it's being sold in Dallas, then I have an incentive to buy up a bunch of it in Waco and then take it and sell it in Dallas.

31:29

And when I do that, that creates a shortage in Waco and pulls the price up. If I sell enough of it in Dallas, which is a pretty big place, it might bring the price down some until uh arbitrage is the process by which prices tend to even out uh across geography or across time and in this case across polymarket and calci if you could you could With at zero risk, uh you could profit of you know generally if you're betting in polymarket or calci, you're taking a risk in the bet that you're making But if you can just buy low in one place and sell high in the other place, you can profit at more or less zero risk if you do it quickly enough And so this is another kind of arbitrage. It is that interest rates and profit rates tend to equilibrate because they are two uses of the same wealth.

32:32

Any other questions? Okay. Well, moving forward.

32:39

So he's already kind of given his argument for free trade. He's given his theory of values, and now he's got to talk about sort of the roots of economic growth. Parsimony.

32:55

uh parsimony savings behavior. If you're parsimonious, you're somebody who's careful about buying stuff. And remember Adam Smith is from Scotland, and so so the Scots are supposed to be famously parsimonious Parsimony, not industry, is the immediate cause of the increase of capital.

33:16

It's capital, it is investment that drives economic growth. And uh and so where does

investment, where does capital, oh, where does that come from? Well he says industry is the uh Industry provides the subject for which parsimony accumulates.

33:38

If we're industrious and we produce a lot of stuff, and then we just consume all of it, uh than we enjoyed today, but but that doesn't uh but it's only if we produce a lot of stuff and we don't consume all of it we set some of it aside as investment goods If we have a really low savings rate, a really high consumption rate, if consumers just want to buy everything that's being produced. then producers are just going to produce consumer goods and that's all we'll have and uh but if some people are saving and using their savings to invest and start companies then there's a demand for machines and and capital goods. So uh uh Whatever industry might acquire if parsimony did not save and store up the capital would never be greater.

34:37

So it's it is saving that generates economic growth. It increases the fund destined for the maintenance of productive hands. Again, that remember I talked about the wages fund idea What is annually saved is as regularly consumed as what is annually spent, and nearly in the same time too.

35:03

But it's consumed by a different set of people. Portion of his revenue that a rich man spends uh is in most cases consumed by idle guests and menial servants who leave nothing behind, but what he saves is immediately employed as capital. consumed in the same manner at nearly the same time, but by a different set of people, laborers, manufacturers, artificers who produce a profit.

35:34

You you haven't gotten to him yet, I don't think. He comes up later in the book. But uh have you have any of you took uh either a principles of macro class or a intermediate macro class or something.

35:49

Have you heard of something called SAIS Law? Say's law. Is that did I see I end up somewhere?

36:01

Nobody knows of SAIS Law. Says Law is usually summarized with the phrase supply creates its own demand. Um but actually say didn't use those words.

36:14

That that's John Baynard Keynes in the 1930s. Say is a is one of the kind of followers of Smith, kind of a disciple of Smith. If you read The Wealth of Nations, it's a big thick book. Jean-Baptiste, this French guy wrote a much thinner book that was read more because it was thinner And uh and so a lot more people back then learned about Adam Smith from Jean-Baptiste

Say's writings that were that were translated into lots of languages than from Smith himself.

36:52

So say would say that that uh that he was really just sort of summarizing Smith's ideas. And to a large extent that was true. Now I looked ahead in Hunt's book and Hunt again kind of disagrees and he's right there are differences but uh I think Hunt kind of overstates the differences between the two but that's I don't need to argue with the author of your book all the time Anyway, the the idea of Say's Law and later John Maynard Keynes during the Depression is going to disagree with Say's Law.

37:34

And therefore he summarizes it in a way that I think makes it easier to knock down. But the uh say Like Smith was uh arguing against the mercantilists, and uh the mercantilists were people who were saying that that you know we we would uh uh we would have uh We we business people would be willing to hire more people, produce more goods, if there was just a stronger demand for our products. So we need a stronger demand for our products.

38:15

And then, according to say, these mercantilists would argue there's not enough demand for our products because there's not enough money in the country. And that's why, once again, we need gold. We need to bring in gold because it's the gold that builds up the monies, that builds up the money supply and drives demand.

38:37

Say made the argument, no, it's not gold that generates a demand for goods. There would be a demand for goods Even in a country that has no money at all, I mean it would all be it would limit it because again you'd have to use barter But if we had no money at all, there would still, if I'm producing something and you're producing something, I demand your product and therefore I exchange my product for yours uh you produce something, you create a demand for my product by exchanging your product for mine. There would still be a demand for goods if there were no such thing as money Money simplifies the exchange of goods, but it doesn't create the exchange of goods.

39:28

Say argued that when you pro when you create a product, you do it for a reason You I produce something either because I want it myself, he he talks about a cobbler and he says if if somebody produces a pair of shoes They produce it either because they want it themselves or because I want to make the shoes to earn some money so that I can buy something else. So in a sense, an act of production is an act of demand. I either want it myself, that's demand Or I want something else that making the shoes will get for me.

40:08

An act of production is an act of demand. Production creates a demand for goods. Supply

creates its own demand.

40:17

So people would then question, well, but what happens if people uh produce some goods and they earn some money, but what if they save some of the money instead of uh instead of immediately buying other goods. And that's where Adam Smith comes in here, although he's coming in before Say even wrote about any of this He's saying, don't worry about people saving, because when you save, saving just means I've earned some income, but I'm not blowing it all on consumer goods The way Adam Smith was thinking of saving, it wasn't so much that I make money and I put it in the bank. The way he's thinking of saving is instead of making some money and blowing it all on consumer goods, I use some of my money to hire people, to buy equipment.

41:18

He considers that saving. It is because it is not consumption uh consumption if I use my income to buy consumer goods that's one thing if I use it If I put it in the bank, that's saving. But uh he usually thought people are more likely to just take some of their wealth and use it to hire workers, to buy raw materials, to buy equipment But uh you could say that even if you put it in the bank, banks what what what's the business that banks are in?

41:56

Banks are there to move money from savers to borrowers. And so if I put my money in the bank and uh the the bank is gonna pay interest to me and therefore the only way they can make a profit is by lending the money back out in charging interest to somebody else. And so the bank, as soon as they get the money, they've got an incentive to lend it out.

42:24

And so it's not like the money just sits there. It sort of moves through the bank and therefore we're back with supply creates its own demand We produce goods. Maybe I want to use some of the goods myself.

42:41

I sell some of the goods to other people who may want to use the goods themselves. uh but I get income from them and even if I save some of that income the income that I save ends up getting routed through the banks into somebody else's borrowing and that creates demand for goods. So one way or another, supply creates its own demand.

43:09

Now what Keynes is going to say in the 1930s is yeah usually that's pretty good usually that works but we've got a situation now where uh Saving and investment can get disconnected from each other. Uh if people have a strong incentive to save, but if we're in a if we're moving into uh uh the Great Depression and uh I even if I have some savings and I could build a factory. Do I want to build a factory if I am afraid that that if I start building this factory it's going to

take me three, four, five years to build it And then I've got to figure out how to produce the goods, not how to sell them.

44:02

What will be the state of the economy five years from now? after I've built the factory and uh and if I'm worried about my ability five years if That since I don't know where the economy is going to be five years from now, I won't may want to just hold on to my savings for a longer period of time. It there may be a mismatch.

44:28

Uh Kane said the the motivations for saving and investment are very different from each other. And so they can get disconnected and that can cause something like the Great Depression that was going on when Keynes wrote his book, The General Theory. But I just tell all of that, you know that's going way out into the future from Smith.

44:52

But this is uh This is sort of the the classical part of this. It is don't worry about uh saving is good. Saving is just good, parsimony is good Parsimony generates economic growth because it is parsimony that that makes room for investment and machinery and so forth, and that's what drives economic growth in the long run.

45:21

Keynes is gonna say savings is good sometimes if the economy is fully employed uh then yeah you need saving uh to make room for investment but if the economy is not fully employed and if people are pessimistic Saving that depresses consumer demand may further spook the investors and keep them from borrowing the money. And so uh Keynes is gonna say it's my book is a general theory because it talks not just about How the economy works under full employment, but also how the economy works when when things are not going so well And here Smith is kind of assuming that things are going well, uh, that we're close to full employment. Um It can seldom happen, indeed, that the circumstances of great nation can be much affected by either the prodigality or misconduct of individuals.

46:31

The profusion or imprudence of some always being more than compensated by the frugality and good conduct of others. Again, he's this optimistic guy. He thinks people are good.

46:44

Yeah, there are some people who are spendthrifts and who who don't live their lives well. But most people, Smith said, most people are trying to improve their lives. And in order to improve their lives, most people are trying to work hard And they're going to try to save.

47:01

They are going to have, quote, good good conduct and frugality. So the good people

outnumber the bad people. And so there has been a natural tendency towards economic growth because people want to improve their lives.

47:20

Uh though the principle of expense prevails in most uh most minimum The greater part of men taking the whole course of their life on average, frugality seems not only to predominate, but very greatly So great nations are never impoverished by private, though sometimes by public prodigality and misconduct. He says people are good, governments are bad. sometimes.

47:49

Sometimes by uh by public prodigality and misconduct. Then he says most almost all of public revenue is used unproductively, he says uh uh used to build a splendid court, a great ecclesiastical, a big church establishment, armies who in time of peace produce nothing the armies do. and in time of war acquire nothing that can compensate the expense of maintaining them.

48:21

He's not a big pro-military guy Uh the most of the money spent on the military is wasted, according to to Adam Smith. uh not worth the expense even while the war lasts. Um so um so those public expenses are financed by individuals.

48:46

So when um uh eventually though he says uh those unproductive hands may consume so great a share of their whole revenue that all the frugality and good conduct of individuals may not be able to compensate the waste and degradation of this forced encroachment. But his bottom line is though that the frugality and good conduct however usually uh is more than sufficient to compensate not only the private prodigality and misconduct of individuals, but also the public extravagance of governments People are so good that even if they have lousy governments, they're the good behavior of individuals is usually strong enough to counterbalance that and give you uh uh uh economic growth. Uh so uh the uniform constant and uninterrupted effort of every man to better his condition The principle from which public and national as well as private opulence is originally derived is frequently power enough powerful enough to maintain the and I think this is just An interesting phrase.

50:07

The natural progress of things towards improvement. Natural progress of things. He believed that In the laws of nature, which he talks about a lot, there's a natural progress towards improvement.

50:22

Why? Because individual people want to improve their lives And as long as you let them cooperate with each other, they'll the division of labor will have a multiplier effect. And even if governments are bad, that's powerful enough usually to give you a natural progress towards

improvement.

50:42

Like the unknown principle of animal life restores health and vigor to the Constitution in spite not only of the disease but the absurd prescriptions of the of the doctor. So economic growth Investment good, saving good, growth comes from savings. Again, Keynes is going to say, yeah, usually, but not always.

51:08

Um and uh and uh it's a natural process. Um It was only after World War II. You know, we have courses in the department here on economic development.

51:23

John Sozie and others teach those courses and they're really good. Economic development did not sort of come along as a subdiscipline in economics until after World War II. Because before World War II there was this continuing belief that there's just sort of a natural process towards improvement.

51:44

But then we have two world wars in the Great Depression. And it's uh do we we just had another world war? Do we want to just keep doing this?

51:54

Can we find some way to Uh yeah, it seems that there are some issues in the operation of uh the sort of unregulated market economy So after World War II, with the the rise of the the UN institutions, General Assembly's meeting right now, uh with creation of the of the uh the UN institutions, economic commissions for Asia and Latin America and so forth. That kind of gave a big kick start And this is sort of where it starts. It is, okay, Adam Smith told us there's a natural tendency towards improvement.

52:33

Well that seems to have happened in Europe and and North America and some places There's a whole lot of the world at the end of World War Two where that natural progress towards improvement seems to have gotten held up somehow. So what's causing that, how can we fix it? And so that was sort of the purpose of the whole economic development subdiscipline in economics is to answer that question that Adam Smith was a little too optimistic about.

53:09

Well, again, we already got his argument for free trade at the beginning of the book But now he comes back and there are a bunch of chapters in Wealth of Nations where he talks about restraints on on trade and on both exports and imports. So here we're in Book four, chapter four, restraints on the importation of foreign countries of goods that can be produced at home. And uh kind of returning to that argument, uh and saying that every individual once again is

trying to improved their lives, found the most advantageous employment for their capital.

53:55

Uh and uh Then he says that it's only natural that every individual will endeavor to employ their capital as near home. as he can and consequently as much as he can in support of domestic industry, provided he can get a normal rate of profit. Merchants prefer the home trade to the foreign trade of consumption, foreign trade.

54:28

In the home trade, his capital is never so long out of his sight as it frequently is in the foreign trade of consumption. He can know better the character and situation of persons he trusts And if should happen to be deceived, he knows better the laws of the country from which he must seek address Okay, Smith is going to make an argument for free trade, free trade in commodities. What he doesn't really make an argument for is free movement of capital or labor.

54:59

He just says, don't worry about it, it won't happen. Workers want to, people are born in a place and they want to stay there. Wealthy people have capital and they always want to invest it as close to home as possible.

55:14

Well, even today, there's what's called the home bias if you take a finance course, that that if you look at people's portfolios uh in places all around the world, you you you might think that if capital moved freely all over the world that the portfolios of investors all over the world would all look the same, that kind of arbitrage thing. But they don't. People tend to invest a little more heavily in their own countries than than in other places But um he was really optimistic about this. He he just said don't worry about foreign investment.

55:54

Um You see, he's going to make an argument for free trade because the idea is that free trade contributes to the division of labor. And if you produce something and and I produce something, we're exchanging goods and we can both be better off, uh it's trade in commodities is mutually beneficial. Is it mutually beneficial to both countries if the best and brightest people of one country move to another country?

56:28

Uh maybe uh if the best and brightest people of one country move to another country, get a good education, invest back into the country they came from then maybe they'll help, you know. Anyway, this is a question about so-called brain drain. Uh if the best and brightest people in let's say Sub-Saharan Africa move to the US and then don't do anything for the country they came from.

56:58

You'll have people complaining in the US about these emigrants And you'll have people in the country of origin complaining that we educated these people and they left. So you'll have people complaining on both sides. Now uh Who's gaining and who's losing, it's a very complicated thing to get into.

57:18

But but the point is there's nothing automatic. If you have free traded commodities, there's something kind of If you and I trade with each other, we do it because we're both benefiting from the trade. Trade is sort of automatically mutually beneficial.

57:37

Movement of capital and labor is not automatically mutually beneficial to uh the sender and receiver countries. It may turn out that it benefits both countries. There are scenarios you can draw where it does.

57:57

Just very quickly, I've got a friend here who goes to my church, Henry Corey, who as long as he could, now he can't because of the Civil War in Cameroon. But for for years, he and his kids would he's a guy who grew up in a village in Cameroon uh uh in a fairly poor family, moved to a bigger city where he could get to high school, came to the US because he could if he came to the US into the military He could eventually get uh citizenship, served in the U. S. military, went to work for the Veterans Administration, still does, lives in Waco, has a pretty moderate income. But out of that income At our church, we eventually learned that for several years Henry and his kids had been going around to garage sales and so forth every weekend and accumulating stuff, and then once a year he would get a uh uh a a shipping container pulled up to Waco from Houston, fill it up Send it back to the village that he came from in Cameroon and then he would travel over there to make sure it kind of got through customs and everything and then he'd come back Would that village be better off if he had stayed there?

59:19

No. That village benefited from brain drain. uh from the fact that Henry came over. So if everybody that left a home country was Henry Carey, uh brain drain wouldn't be a problem.

59:32

So that's why I say these things are complicated uh trying to figure out and nowadays since because of uh the internet and cell phones that you can get international, it's easier Once upon a time, if you went from the old country to the new country, you quickly lost contact with the old country. That doesn't happen as much now So there's a stronger chance that people maintain contact with the place they came from and do things for the place they came from. But it's still just a chance.

01:00:06

Anyway, Adam Smith just says, don't worry about it. Capital flows from country to country won't

happen. if he could see how easily I can drag and drop on my computer screen and move my investment accounts into international funds, uh he would be horrified, I think.

01:00:27

So uh So yeah, there would be a problem if labor and capital move, but it doesn't, he says Uh so upon equal or nearly equal profits there, everybody inclines to employ their capital to help their own country. And when they do that, they're endeavoring to direct that industry, produce the greatest value. Uh you make the biggest profits if you produce the things that are most valuable to consumers.

01:01:01

And uh uh it's only the sake of profit that you're doing it. uh you're trying to create value, but the annual value of every society is equal to the exchangeable value of the whole annual produce of industry. It's sort of like GDP if you add together everything, that is the annual revenue of society.

01:01:25

As every individual therefore endeavors as much as he can to employ his capital to support domestic instead of foreign industry, Uh uh every individual necessarily labors to render the revenue for their country as great as he can By doing that, he intends only his own gain. He is in this, is in many other cases led by an invisible hand, if you've heard Adam Smith invisible hand. This is one of two places where he used that term.

01:01:59

It's in the middle of this Argument again for free trade, for loving people, because people will naturally try to increase the wealth of their own country And he says it's really good that uh that you know they never intended to help their country. They were just trying to make profits. But it's really just as well that they weren't trying to help the country.

01:02:28

He says, um, uh I've never known much good done by those who affected who acted like they were trading for the public good. Uh he thinks we're better off here he sounds a little bit like Milton Friedman later on, where Milton Friedman in the nineteen sixties gonna say Let's just tell businesses to just try to make profits and maximize shareholder value. That that becomes a big argument over uh social responsibilities of business.

01:03:03

But but here Adam Smith sounds a little bit like Milton Friedman. We're really better off if business people just try to make profits and they'll end up serving society better that way. But there are two cases Where it may be advantageous to lay some burden on foreign for the encouragement.

01:03:28

He he says there are two cases you can make for putting, let's say, tariffs on goods coming into the country. The first is when an industry is necessary for the defense of the country. And so at his time he talked about the Navigation Acts that uh uh Smith was in favor of legislation that said that If goods, British goods are going to be moved around the world, they should be moved on British ships.

01:04:01

We want to uh Uh we want to restrict importation of ships into England and force British business people to use British ships. Why? Because If we get into a war, those commercial, those merchant ships can quickly be converted to military use And uh so he was in favor of the navigation acts because he saw those.

01:04:31

So you can so you got a general principle there that says If something uh is important, uh we can restrict importation of something to encourage domestic production of a product if we think that. domestic production is important for national security. Well of course that's what we've just gone through with COVID.

01:04:58

Yeah, it is uh Uh we found out during supply chain disruptions during COVID that it was difficult to get a lot of of pretty important things quickly into the country. And so if you decide that that we we don't want to be dependent on adversaries or potential adversaries. There's a big question of uh for antibiotics in the United States.

01:05:28

Some per s huge percentage of the antibiotics and more so the the chemicals that are used to produce antibiotics come from China. Do we want to be dependent on China for 80-some odd percent of the uh of the chemicals that we need to produce antibiotics? Do we want to be dependent on the fact that the most micro advanced microchips in the world are coming out of Taiwan at a time when China keeps saying in the long run they want Taiwan.

01:06:02

And so it is uh um therefore you get a stronger thing says we we need to either produce more of that ourselves or nowadays the other thing that kind of came out of COVID is talking about uh uh what is it? Near sourcing and friend sourcing. Back when Canada was our friend, uh it was okay if we if we're getting things from Canada and Mexico instead of uh instead of China.

01:06:35

Now of course what that means is China starts also building factories in Mexico and then things get a little more complicated. But but but anyway national defense Uh and then this is one of these little uh Smithian phrases, is defense, however, is more in more important than opulence. Defense opulence uh the act of navigation is wise.

01:07:00

Then he says the other case where it's advantageous to lay a burden on foreign for the encouragement of domestic industry is when there's a tax on domestic and here I think Met Smith is a little mixed up. He's saying that if we've got a tax, let's say on cigarettes that are produced in the United States then we should also tax cigarettes that are coming in from outside the country. Well yeah, but that's not really putting a burden on foreign industry for the advancement of domestic industry.

01:07:37

It's just saying you want a level playing field. We're gonna we we shouldn't have a higher tax on the domestically produced good than the tariff on the good coming in from other outside. So I I would say really the only exception he gives To the free trade principle is national defense.

01:07:59

In a different place, he gets into an arg a discussion of what about reciprocal tariffs? What if another country is charging a tariff on our product, should we charge equal tariffs on their products? And he says, you would only want to do that if you think that by doing what you do you can get the other side to get rid of their tariffs.

01:08:27

If you don't think you're going to do that Then no, you don't want to charge reciprocal tariffs. When I've talked to even industry groups about this, I'd say the Smith and Milton Friedman and others would say You know, if your mama ever said, if your friend jumped off of a cliff, would you jump off of a cliff? No. If your friend does something stupid, do you think you should do something stupid?

01:08:55

If another country is charging tariffs and it's depressing their economy, should we do the same thing? And Adam Smith, Milton Friedman, most mainstream economists would say no. Uh other countries there was a time when the U. S. charged really high tariffs because that was the easiest way to collect tax revenue. Now you can't raise the tax revenue we need from tariffs.

01:09:22

And so uh Uh but at a time when really the only the government mainly had control of the borders and therefore it was the easiest place to to charge taxes A lot of s starting up countries are highly dependent on tariff revenue. If you have reciprocal tariffs, it's not going to cause them to change their whole tax system. So reciprocal tariffs very seldom have the effect of getting the other side to to completely come into equality with your tariff rights.

01:10:00

Uh I'm just gonna go back on down since we're about out of time. So this is the very end of it. He's talked about He's talked about trade and all these things.

01:10:11

He's talked about the mercantilists, or a whole bunch of chapters uh where he's arguing against uh the the mercantilists. That's the biggest point of his book. But then he also gets around to talking about the agricultural systems, the physiocrats, uh Quinet and the people who just preceded him.

01:10:31

And so after he has talked about physiocracy and he's said what's good about it and what's bad about it, he reaches that final conclusion. It is thus that every system every system that endeavors either by encouragements to draw particular species of industry to greater share of capital that it would naturally go to it or by extraordinary restraints to force them from a particular species of industry. The mercantilists were big pro industry people.

01:11:06

The physiocrats were big pro-agriculture people. And he says they're both wrong. We don't need to have the government pushing one industry, one sector of the economy.

01:11:18

Uh every system that in debt endeavors to push capital in one direction or the other. Is in reality subversive to the great purpose which it means to promote. It retards rather than accelerating progress of society towards real wealth all systems of preference or restraint, therefore being thus completely taken away, the obvious and simple system of natural liberty Adam Smith never uses the term capitalism or free enterprise.

01:11:52

This is his name for his system. the system of natural liberty establishes itself of its own accord. If the government just gets out of the way, uh there's a market system that will organize itself of its own accord.

01:12:09

And then he just goes on to say that if you uh if people try to to do a better job than that system will do, they will always uh uh it's no human wisdom or knowledge could ever be sufficient he says to to improve on what you get from that system of natural liberty. That's it. Take care.

01:12:37

Uh and uh I think I think Scott said that he's going to be zooming with you guys or something next time. So uh